Luxembourg Dispute Resolution Profile

(Last updated: 16th January 2019)

General Information

- **Luxembourg's tax treaties are available at:**

  http://www.impotsdirects.public.lu/fr/conventions/conv_vig.html

- **MAP request should be made to:**

  Designated competent authorities for the purposes of exchange of mutual agreement cases and arbitration procedure except in the field of transfer pricing (under the tax treaties and the EU Arbitration Convention (90/436/ECC) dated 23rd July 1990):

- Pascale TOUSSING, director of the direct tax administration
  Phone : +352 247-52101
  E-mail: comite_de_direction@co.etat.lu

- Monique ADAMS, deputy director of the direct tax administration
  Phone : +352 247-52102
  E-mail: comite_de_direction@co.etat.lu

- Luc SCHMIT, deputy director of the direct tax administration
  Phone : +352 247-52103
  E-mail: comite_de_direction@co.etat.lu

- Betty SANDT, deputy director of the direct tax administration
  Phone : +352 247-52104
  E-mail: comite_de_direction@co.etat.lu

- Sven ANEN, deputy director of the direct tax administration
  Phone : +352 247-52105
  E-mail: comite_de_direction@co.etat.lu

- Paul ROLLER, deputy head of the division of international relations
  Phone : +352 247-52359
  E-Mail : paul.roller@co.etat.lu

- Michel HOFFMANN, deputy head of the division of international relations
  Phone : +352 247-52358
  E-Mail : michel.hoffmann@co.etat.lu

Administration des contributions directes
Address: 45, boulevard Roosevelt, L-2450 Luxembourg
Postal address: L-2982 Luxembourg
Fax: +352 247-52444

Designated competent authorities for the purposes of exchange of mutual agreement cases and arbitration procedure in the field of transfer pricing (under the tax treaties and the EU Arbitration Convention (90/436/ECC) dated 23rd July 1990):

- Pascale TOUSSING, director of the direct tax administration
  Phone : +352 247-52101
  E-mail: comite_de_direction@co.etat.lu

- Monique ADAMS, deputy director of the direct tax administration
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- Sven ANEN, deputy director of the direct tax administration
  Phone : +352 247-52105
  E-mail: comite_de_direction@co.etat.lu

- Steve SCHANCK, deputy head of the economic division
  Phone : +352 247-52127
  E-Mail : steve.schanck@co.etat.lu

- Laurent THEIS, economic division
  Phone : +352 247-52133
  E-Mail : laurent.theis@co.etat.lu

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Address: 45, boulevard Roosevelt, L-2450 Luxembourg
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Fax: +352 247-52441

- **APA requests should be made to:**

  In accordance with the new ruling procedure, introduced by the Grand-Ducal Decree dated 23rd December 2014, APA requests should be addressed to the Tax Inspector of the relevant tax office or to the director of the direct tax administration in case no or several tax offices are concerned.

Luxembourg Dispute Resolution Profile – Preventing Disputes

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
A.	**Preventing Disputes**			
1.	Are agreements reached by your competent authority to resolve difficulties or doubts arising as to the interpretation or application of your tax treaties in relation to issues of a general nature which concern, or which may concern, a category of taxpayers published?	Yes	Such agreements are in principle published as circulars in the same way as other circulars in which the Luxembourg tax administration publishes its understanding of Luxembourg tax law.	http://www.impotsdirects.public.lu/fr/legislation/circulaires.html
2.	Are bilateral APA programmes implemented? If yes:	See detailed explanation	No formal program has been implemented, but Luxembourg considers that bilateral APAs can be concluded by its competent authority based on article 25(3), first sentence of the OECD Model Tax Convention.	-
a.	• Are roll-back of APAs provided for in the bilateral APA programmes?	See detailed explanation	Roll-backs of APAs are theoretically possible. However, the term of an APA is limited to five years (pursuant to §29a of the General Tax Law).	-
b.	• Are there specific timeline for the filing of an APA request?	No	-	-
c.	• Are rules, guidelines and procedures on how taxpayers can access and use bilateral APAs, including the specific information and documentation that should be submitted in a taxpayer's request for bilateral APA assistance,	See detailed explanation	Information and documentation to be submitted in a taxpayer's request for an APA are publicly available.	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi14/Memorial-A---N_-264-du-29-decembre-2014.pdf

Luxembourg Dispute Resolution Profile – Preventing Disputes

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
	publicly available?			
d.	• Are there any fees charged to taxpayers for a bilateral APA request?	Yes	According to §29a of the General Tax Law, an administrative fee of 10.000 EUR will generally be applicable for an APA request.	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi14/Memorial-A---N_-257-du-24-decembre-2014.pdf
e.	• Are statistics relating to bilateral APAs publicly available?	Yes	Yearly statistics about the number of APA requests are published in the annual activity report of the Ministry of Finance.	http://www.impotsdirects.public.lu/fr/profil/rapports.html
3.	Is training provided to your officials involved in the auditing/examination of taxpayers to ensure that any assessments made by them are in accordance with the provisions of your tax treaties?	Yes	-	-
4.	Is other information available on preventing tax treaty-related disputes?	No	-	-

Notes:

1. An APA is an "arrangement that determines, in advance of controlled transactions, an appropriate set of criteria (e.g. method, comparables and appropriate adjustments thereto, critical assumptions as to future events) for the determination of the transfer pricing for those transactions over a fixed period of time". (see definition of APA in the ***OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations*** ("Transfer Pricing Guidelines")).

2. Situations may arise in which the issues resolved through an APA are relevant with respect to previous filed tax years not included within the original scope of the APA. The concept of "roll-back" is further elaborated in paragraph 4.150 of Section F (Advance pricing arrangement) of Chapter IV of the Transfer Pricing Guidelines and in paragraph 69 of Section D.4.2 (Possible retrospective application ("Roll back")) of the Annex to Chapter IV (Guidelines for Conducting Advance Pricing Arrangements under the Mutual Agreement Procedure ("MAP APAs")) of the Transfer Pricing Guidelines. Simply put, the "roll-back" of the APA is understood to mean that the outcome of the APA is applied to previous filed tax years not included within the original scope of the APA.

Luxembourg Dispute Resolution Profile – Availability and access to MAP

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
B.	**Availability and Access to MAP**			
5.	Are transfer pricing cases covered within the scope of MAP?	Yes	-	-
6.	Are issues relating to the application of treaty anti-abuse provision covered within the scope of MAP?	Yes	-	-
7.	Are issues relating to the application of domestic anti-abuse provision covered within the scope of MAP?	Yes	-	-
8.	Are issues where there is already an audit settlement between the tax authority and the taxpayer covered within the scope of MAP?	see detailed information	Audit settlement processes are not available in Luxembourg. Access to MAP will always be granted to taxpayers subject to a tax audit.	http://www.impotsdirects.public.lu/fr/conventions/map.html
9.	Are double taxation cases resulting from bona fide taxpayer initiated foreign adjustments covered within the scope of MAP?	Yes	-	-
10.	Are there any other treaty related issues not covered under s/n 5 to 9 which are not within the scope of MAP?	No	-	-
11.	Are taxpayers allowed to request MAP assistance in cases where the taxpayer has sought to resolve the issue under dispute via the judicial and administrative remedies provided by the domestic law of your jurisdiction?	Yes	-	-

Luxembourg Dispute Resolution Profile – Availability and access to MAP

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
12.	Are taxpayers allowed to request for MAP assistance in cases where the issue under dispute has already been decided via the judicial and administrative remedies provided by the domestic law of your jurisdiction?	Yes	-	-
13.	Are rules, guidelines and procedures on how taxpayers can access and use MAP, including the specific information and documentation that should be submitted in a taxpayer's request for MAP assistance, publicly available?	Yes	Information and guidance regarding the implementation modalities of MAP can be found in the administrative circular "Conv. D.I. n°60" dated 28th August 2017.	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf
14.	Are there specific timeline for the filing of a MAP request?	Yes	-	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf
15.	Are guidance on multilateral MAPs publicly available?	Yes	-	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf
16.	Are tax collection procedures suspended during the period a MAP case is pending?	No	-	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf
17.	Are there any fees charged to taxpayers for a MAP request?	No	-	-
18.	Is there any other information available on availability and access to MAP?	No	-	-

Luxembourg Dispute Resolution Profile – Resolution of MAP cases

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
C.	**Resolution of MAP Cases**			
19.	Are there any model timeframes for the steps taken by your competent authority from the receipt of a MAP case to the resolution of the case provided to taxpayers?	No	-	-
20.	Are statistics relating to the time taken to resolve MAP cases publicly available?	Yes	Statistics are reported to the OECD and the EU and are published on their respective websites.	-
21.	Is interest or penalties resulting from adjustments made pursuant to a MAP agreement waived or dealt with as part of the MAP procedure?	No	-	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf
22.	Are the roles and responsibility of the MAP office publicly available, for example, is the mission statement of the MAP office available in the *annual* report of the organisation?	Yes	-	http://www.impotsdirects.public.lu/fr/conventions/map.html http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf
23.	Is MAP arbitration a mechanism currently available for the resolution of tax treaty related disputes in any of your tax treaties? If not:	Yes	Arbitration clauses are currently in tax treaties in force with Estonia, Germany, Guernsey, Hong-Kong, Isle of Man, Jersey, Liechtenstein, Mauritius, San Marino, Seychelles,	-

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
			Switzerland and Uruguay. In addition, MAP arbitration is available under the EU Arbitration Convention which covers cases regarding transfer pricing and attribution of profits to PEs.	
a.	• Are there any legal limitations in your domestic law (for example in your constitution) to include MAP arbitration in your tax treaties?	-	-	-
b.	• Does your treaty policy allow you to include MAP arbitration in your tax treaties?	-	-	-
24.	Is the explanation of the relationship between the MAP and domestic law administrative and judicial remedies publicly available? If yes:	Yes	-	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf
a.	• Does the guidance specifically address whether the competent authority considers that it is legally bound to follow a domestic court decision in the MAP or will not deviate from a domestic court decision as a matter of administrative policy or practice?	see detailed information	Where a final judicial decision is taken before an agreement is reached, the Luxembourg competent authority shall be able to continue the mutual	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf

Luxembourg Dispute Resolution Profile – Resolution of MAP cases

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
			agreement procedure but has to take account of the judgment reached and may not aggravate the situation of the taxpayer.	
25.	Are taxpayers allowed to request for multi-year resolution through the MAP of recurring issues with respect to filed tax years?	Yes	-	-
26.	Do all your jurisdiction's tax treaties contain a provision which would oblige your jurisdiction to make corresponding adjustments or to grant access to the MAP with respect to the economic double taxation that may otherwise result from a primary transfer pricing adjustment (i.e. is paragraph 2 of Article 9 of the OECD Model Tax Convention or the UN Model Double Taxation Convention included in all of your jurisdiction's tax treaties)?	No	There is no paragraph based on the text of Article 9(2) of the OECD Model Tax Convention or the UN Model Double Taxation Convention included in the following tax treaties: Austria, Belgium, Brazil, Finland, Ireland, Italy, Morocco, Netherlands, Norway, Thailand and United Kingdom.	-
27.	Is there any other information available on resolution of MAP cases?	Yes	-	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf

Luxembourg Dispute Resolution Profile – Implementation of MAP Agreements

s/n		Response	Detailed explanation	Where publicly available information and guidance can be found
D.	**Implementation of MAP Agreements**			
28.	Where the agreement reached by your competent authority through the MAP process leads to additional tax to be paid by your taxpayer, is there publicly available information on the timeframe the taxpayer could expect its tax position to be amended to reflect the agreement reached by the competent authority and/or for the additional tax to be paid?	No	-	-
29.	Where the agreement reached by your competent authority through the MAP process leads to a refund of the tax due or paid by your taxpayer, are there publicly available information on the timeframe the taxpayer could expect its tax position to be amended to reflect the agreement reached by the competent authority and/or for a refund of the tax paid?	No	-	-
30.	Are all mutual agreements reached through MAP implemented notwithstanding any time limits in your domestic law?	Yes	-	-
31.	Is there any other information available on the implementation of MAP agreements?	Yes	-	http://www.impotsdirects.public.lu/content/dam/acd/fr/legislation/legi17/lg-convdi-60.pdf